TEXORA · LECTURE SHEET

# Introduction to Cost Accounting

*What cost accounting is, its objectives and functions, how it differs from and supports financial accounting, installation of a costing system, cost units, and the methods and techniques of costing — with the prime cost built up in a worked example.*

AC-4205 · COST AND MANAGEMENT ACCOUNTING · TOPIC 1 · LEVEL 4 TERM 2

## 1. Meaning and scope

**Cost accounting** is the process of accounting for cost: recording, classifying, allocating and analysing the expenditure incurred to produce goods or services, so that the cost of each **cost unit** (a shirt, a kilogram of dyed fabric, an order) is known and controllable. Where **financial accounting** reports the result of the whole business to outsiders for a past period, cost accounting serves managers inside the business, product by product and process by process, looking at the present and the future as much as the past.

| ASPECT | FINANCIAL ACCOUNTING | COST ACCOUNTING |
|---|---|---|
| Purpose | Report overall profit and financial position | Ascertain cost per unit; control cost; support decisions |
| Users | Owners, lenders, tax authorities, public | Managers at every level |
| Unit of analysis | The whole enterprise | Product, job, process, department (cost centres and cost units) |
| Period | Fixed accounting year, historical | Any period; historical and predetermined (budgets, standards) |
| Obligation | Legally required, rule-bound formats | Voluntary (except where records are mandated), designed for use |
| Stock valuation | For the balance sheet, at cost or realisable value per rules | Detailed, element-wise; feeds the financial accounts |

## 2. Objectives and functions

- **Cost ascertainment** — find the cost of each product, job or service, element by element (material, labour, expenses), so prices can be set on knowledge rather than guesswork.

- **Cost control** — compare actual cost with budgets and standards (Topics 5 and 9), locate waste and inefficiency, and fix them.
- **Decision support** — make-or-buy, product mix, special orders, shutdown points (Topic 8 all depend on cost data sorted the right way).
- **Profitability analysis** — profit by product, order, customer and market, so effort flows to what earns.
- **Inventory valuation** — value raw materials, work in progress and finished goods for the financial statements.
- **Price fixing and tendering** — build quotations from cost sheets (Topic 6) with a chosen margin.

## 3. Key terms of the trade

| TERM | MEANING | TEXTILE EXAMPLE |
|---|---|---|
| Cost centre | A location, function or item of equipment to which costs are collected | Dyeing section; the dyeing machine; the boiler house |
| Cost unit | The unit of output whose cost is found | Per piece (shirt), per kg (dyed fabric), per dozen, per metre |
| Direct cost | Traceable wholly to one cost unit | Fabric in a shirt; the machinist's wages on that order |
| Indirect cost (overhead) | Shared; allocated or apportioned to units | Factory rent, supervisor's salary, power |
| Prime cost | Direct material + direct labour + direct expenses | See the worked example |
| Conversion cost | Direct labour + factory overhead — the cost of converting material into product | Dyeing cost over and above the grey fabric and dyes traced directly |

## 4. Building the prime cost — worked example

**WORKED EXAMPLE — PRIME COST OF A SHIRT ORDER**

An order for 1,000 polo shirts consumes: fabric and trims (direct material) Tk 4,20,000; sewing operators' wages on the order (direct labour) Tk 1,10,000; a special embroidery charge paid for this order only (direct expense) Tk 30,000.

Prime cost = 4,20,000 + 1,10,000 + 30,000 = **Tk 5,60,000**.

Prime cost per shirt = 5,60,000 ÷ 1,000 = **Tk 560 per piece**.

> Factory overheads, administration and selling costs are added later (Topic 6 builds the full cost sheet); prime cost is the floor every quotation must clear before those additions.

## 5. Methods and techniques of costing

| METHOD | USED WHERE |
|---|---|
| Job costing | Distinct orders made to a customer's specification — a garment export order (Topic 4) |
| Batch costing | Groups of identical units produced together — a dyeing batch, a lot of shirts |
| Process costing | Continuous production through sequential processes — spinning, dyeing, finishing (Topic 4) |
| Contract costing | Large, long-duration work at a site — construction-type contracts (Topic 4) |
| Service/operating costing | Services — transport, power generation, a laundry |
| Multiple costing | Products assembled from parts costed by different methods |

Techniques cut across methods: **standard costing** (predetermined costs as a control benchmark), **marginal/direct costing** (separating fixed and variable for decisions), **absorption costing** (full cost including fixed overhead) and **uniform costing** (common systems across an industry for comparison). Topics 4–9 work each of these.

## 6. Installing a costing system

A system is installed, not wished into being: (1) study the organisation, products and production flow and fix cost centres and cost units; (2) design the classification of accounts and the forms (materials requisitions, time records, job cards) that capture cost where it arises; (3) decide the methods and techniques above and the overhead recovery bases (Topic 3); (4) integrate with the financial accounts so the two reconcile; (5) train staff and start with a pilot area, extending as records prove reliable; (6) review periodically — a costing system must track the factory as products and processes change. The system's cost must stay below the value of the control it gives: records nobody uses are themselves waste.

## Glossary

**Cost accounting** — the recording and analysis of cost by unit, centre and element. **Cost unit** — the quantity unit in which cost is expressed. **Cost centre** — a collection point for costs. **Prime cost** — all

direct costs. **Conversion cost** — direct labour + factory overhead. **Overhead** — indirect cost not traceable to a single unit. **Job / process / contract costing** — the principal methods matched to production type.

## Key points

• Cost accounting finds and controls the cost of each unit for managers; financial accounting reports the whole business to outsiders.
• Its functions: ascertain, control, value inventory, analyse profitability, support pricing and decisions.
• Prime cost = direct material + direct labour + direct expenses (Tk 5,60,000, i.e. Tk 560 per shirt, in the worked example).
• Methods follow production: job, batch, process, contract, service, multiple; techniques include standard, marginal and absorption costing.
• Installation means designing centres, units, forms and bases first — then piloting, integrating and reviewing.

## Practice

1. Direct material Tk 2,40,000, direct labour Tk 90,000 and direct expenses Tk 20,000 are incurred on an order of 2,000 pieces. Find the prime cost and the prime cost per piece.
2. Classify each as direct or indirect for a shirt factory: (a) fabric, (b) factory rent, (c) sewing operator's wage, (d) supervisor's salary, (e) thread, (f) power for the sewing hall. Note any item whose answer depends on traceability.
3. Choose the costing method for: (a) a ship built to order, (b) a dye house processing continuous lots, (c) a bus company, (d) a one-off export order of jackets.
4. State four differences between financial and cost accounting other than their users.

### Answer key

1. Prime cost = 2,40,000 + 90,000 + 20,000 = **Tk 3,50,000**; per piece = 3,50,000 ÷ 2,000 = **Tk 175**.
2. (a) Direct. (b) Indirect. (c) Direct. (d) Indirect. (e) Thread: in principle a direct material, but its value per unit is trivial and hard to trace, so it is conventionally treated as indirect (factory overhead) — the item whose classification depends on materiality/traceability. (f) Indirect (shared across orders; metered per machine it could be traced, but normally apportioned).
3. (a) Contract (or job) costing. (b) Process costing (batch costing also acceptable for discrete lots, if justified). (c) Service/operating costing. (d) Job costing.
4. Any four: unit of analysis (whole business vs product/centre); periodicity (fixed year vs any period); orientation (historical only vs historical + predetermined); obligation and format (statutory, rule-

bound vs voluntary, purpose-designed); stock valuation approach; primary output (statements vs internal reports).

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